

PUT CREDIT SPREAD — GOLDEN RULES

The A+ setup checklist for high-probability premium selling

★ **META-RULE:** A put credit spread bets price stays **ABOVE** your short strike. **Trend** gives direction · **IV** gives the paycheck · **RSI / MACD / Bollinger** give the timing. Never sell on IV alone if the chart is broken; never sell a great chart when IV is dead.

1 · IMPLIED VOLATILITY (the paycheck)

- ✓ **SELL when IV is HIGH** — IV Rank / Percentile > 50 (ideal > 70).
- ✓ Prefer **IV > HV** — options priced richer than realized moves.
- ✓ Sell **into fear**: post-drop / post-news IV spikes pay the most.
- ✗ Avoid **IVR < 20–25** — credit too thin, poor reward/risk.
- High IV in a **downtrend** is a trap — direction still rules.

2 · TREND & MAs (direction + floor)

- ✓ Price **above the 200-SMA** = long-term uptrend (baseline green light).
- ✓ **Stacked: 20-EMA > 50-EMA > 200-SMA**, all rising = A+ structure.
- ✓ Best entry = **pullback TO a rising 20/50-EMA** that holds.
- Park the **short strike below a rising major MA** (dynamic support).
- ✗ Never sell puts below a **falling 50/200** (downtrend).

3 · BOLLINGER BANDS (entry + strikes)

- ✓ Ideal: price **bouncing off the LOWER / mid band** inside an uptrend.
- ✓ **%B near 0–0.2** after a dip = stretched, bounce likely.
- Anchor **short strike at / below the lower band** (≈ 2 SD).
- ✗ Beware the **band walk** — price rides lower band in a downtrend.
- **Squeeze** (tight bands) = big move coming, direction unknown.

4 · RSI (timing the turn)

- ✓ Sweet spot: **RSI turning UP from 35–45** (dip exhausting).
- ✓ **Bullish divergence** (price lower-low, RSI higher-low) = strong.
- **45–60 & rising** = healthy trend, fine to sell.
- ✗ **< 30 & still falling** = falling knife — wait for the turn.
- **> 70 overbought** = less cushion / snap-back risk.

5 · MACD (momentum confirm)

- ✓ **Bullish cross** (MACD > signal) — best when **below zero**.
- ✓ **Histogram positive & expanding** = momentum building.
- ✓ **MACD above zero** = bullish regime overall.
- ✗ Skip on a **bearish cross** or deep, expanding-negative histogram.

6 · STRIKES, DTE & MANAGEMENT

- Short strike **delta ~0.16–0.30** (≈ 70 –84% PoP).
- Place it **below a confluence of support**; breakeven below it.
- **30–45 DTE** sweet spot — **no earnings** inside the trade.
- **Liquidity**: tight bid/ask, OI > 100–500.
- ✓ **Take profit at ~50%** of max credit.
- **Close / roll by ~21 DTE** regardless (gamma risk).
- **Exit / roll** if short strike breached or loss $\approx 2\times$ credit.

■ **THE A+ SETUP (one screen):** Uptrend (price > rising 50 & 200) + pullback to a rising 20/50-EMA + bounce off lower/mid Bollinger band + RSI turning up from 35–45 + MACD bullish cross + **IV Rank > 50** + short strike (~ 0.20 – 0.30Δ) below clear support, 30–45 DTE, no earnings, take profit at 50%.

Reward : Risk cheat	Credit ÷ (Width – Credit)
~20% of width	$\approx 1 : 4$ (higher PoP)
~33% of width	$\approx 1 : 2$ (the sweet spot)
~50% of width	$\approx 1 : 1$ (directional)

Take-profit, deltas and DTE reflect common tastytrade-style premium-selling research. Educational reference on options mechanics — not personalized investment advice. Verify live IV Rank, support levels and earnings dates before every trade.